Some commenters suggested that we require investor-specific or class-specific reporting in addition to fund-level reporting.[199] While we recognize the utility to investors of investor-level reporting, we do not believe that requiring investor-level reporting in quarterly statements is essential to this rulemaking. First, the quarterly statements are designed, in part, to allow individual private fund investors to use fund-level information to perform the types of personalized or otherwise customized calculations that underlie investor-specific reporting. Second, we understand that, even if private fund advisers provide investors with investor-specific reporting, many investors would still need to perform personalized or otherwise customized calculations to satisfy their own internal requirements.[200] Third, the fund-level reporting requirements do not prevent an adviser from providing (or causing a third party, such as an administrator, consultant, or other service provider, to provide) personalized information, as well as other customized information, to supplement the standardized baseline level (*i.e.*, the mandatory floor) of fund-level information required to be included in the quarterly statements, provided that such additional information complies with the other requirements of the final rule, the marketing rule,[201] and other disclosure requirements, each to the extent applicable. We are requiring what we view as essential baseline, fund-level information, allowing investors to focus their time and bargaining resources on requests for any more personalized information they may need, which may vary from investor to investor.

---

199 *See, e.g.*, ILPA Comment Letter I; Healthy Markets Comment Letter I; OPERS Comment Letter; NYSIF Comment Letter.

200 For example, an investor may seek to analyze the performance of each of a fund's individual portfolio investments to better understand the nature of such fund's performance as well as the adviser's skill at investment selection and management at a more granular level.

201 *See* rule 206(4)-1. A communication to a current investor can be an "advertisement," for example, when it offers new or additional investment advisory services with regard to securities.

Similarly, while we recognize the value of class-level reporting, requiring class-level reporting on quarterly statements is not necessary for the same reasons as those discussed above for investor-specific reporting. Additionally, requiring class-level reporting would not increase comparability across different advisers. For example, an investor might be in substantially different classes in funds advised by different advisers and thus might have difficulty comparing class-level reporting across these funds.[202]

Commenters suggested that we should allow investors to waive this quarterly statement requirement.[203] However, if we were to allow investors to waive the quarterly statement requirement, then some private fund advisers may require investors to do so as a precondition to investing in a fund. Furthermore, even if a private fund adviser does not explicitly require such a waiver as a precondition to investment, a private fund adviser could attempt to anchor negotiations around a waiver by including one in a private fund's subscription agreement and thereby compelling investors to choose between expending resources to negotiate for quarterly statements or for other important terms related to fund governance and investor protection. Such an outcome would undermine improving transparency for these private fund investors and would fail to address the harms that the rule is intended to address.

Some commenters suggested requiring statements annually instead of quarterly.[204] Other commenters suggested requiring statements semi-annually.[205] Another commenter suggested

---

202 Any class-based assumptions or criteria used to calculate fund-level performance should be prominently disclosed as part of the quarterly statements. For example, if an adviser uses a management fee rate that is averaged across different classes to compute fund-level performance, it should be prominently disclosed in the quarterly statement. *See infra* section II.B.2.c.

203 *See, e.g.*, BVCA Comment Letter; Comment Letter of the German Private Equity and Venture Capital Association (June 2, 2022) ("GPEVCA Comment Letter").

204 *See, e.g.*, Schulte Comment Letter; Invest Europe Comment Letter; BVCA Comment Letter.

205 *See, e.g.*, Ropes & Gray Comment Letter; MFA Comment Letter I; AIMA/ACC Comment Letter.

requiring these statements more frequently than quarterly for liquid funds as many liquid funds currently provide monthly statements.[206] It is our understanding that most private funds (liquid and illiquid) report at least quarterly. Accordingly, we believe that requiring quarterly reporting is well suited to enhance investors' ability to compare performance as well as fee and expense information across liquid and illiquid private funds because many private investors are accustomed to receiving and reviewing quarterly reports. Monthly or more frequent reporting may also not provide sufficiently more meaningful information to justify imposing the burdens for private funds that do not already provide such frequent reporting.[207] All private funds, including liquid funds, may provide additional reporting on a more frequent basis than quarterly. On the other hand, we believe that annual or semi-annual statements are too infrequent and such infrequency would make it difficult for investors to monitor their investments. Receiving a year or six months' worth of fee and expense information at one time would make it more burdensome for investors to parse (particularly, because some of those outlays may be a year or six months old) and to help ensure that fees are being charged appropriately. Similarly, because a fund's performance can change drastically over the course of a year or six months, investors often need more frequent and regular performance reporting to make informed investment decisions and to balance their own portfolio. We believe that quarterly reporting strikes the right balance between sufficient frequency to enable investor analysis and decision making and mitigation of burdens on advisers.

---

206 *See* RFG Comment Letter II.

207 For example, it is our understanding that the majority of private equity funds currently provide quarterly reporting. Since private equity funds generally invest on a longer time horizon, we do not expect that monthly reporting would inherently provide more beneficial information for investors than quarterly reporting and it would entail substantial additional administrative costs.

1. Fee and Expense Disclosure

The rule requires an investment adviser that is registered or required to be registered to prepare and distribute quarterly statements for any private fund that it advises with certain information regarding the fund's fees and expenses and any compensation paid or allocated to the adviser or its related persons by the fund, as well as any compensation paid or allocated by the fund's underlying portfolio investments. The statement will provide investors in those funds with comprehensive fee and expense disclosure for the prior quarterly period (or, in the case of a newly formed private fund's initial quarterly statement, its first two full fiscal quarters of operating results).

Many commenters generally supported the fee and expense disclosure requirement for the quarterly statements and agreed that establishing a standardized baseline level (*i.e.*, a "floor") of fee and expense disclosure would enhance the basic transparency, comparability and investors' understanding and oversight of their private fund investments.[208] Some commenters criticized it on various grounds, as discussed in more detail below, including that the fee and expense disclosure requirement as proposed would be overly broad, costly, and burdensome.[209] Certain commenters relatedly suggested that current fee and expense disclosure practices are

---

[208] *See, e.g.*, ILPA Comment Letter I; Comment Letter of the Council of Institutional Investors (Apr. 7, 2022) ("CII Comment Letter"); Comment Letter of the Seattle City Employees'' Retirement System (Apr. 19, 2022) ("Seattle Retirement System Comment Letter"); OFT Comment Letter; United for Respect Comment Letter I; Public Citizen Comment Letter; Comment Letter of the Los Angeles County Employees Retirement Association (July 28, 2022) ("LACERA Comment Letter"); OPERS Comment Letter; NCPERS Comment Letter; Comment Letter of Take Medicine Back (Apr. 25, 2022) ("Take Medicine Back Comment Letter"); Comment Letter of Segal Marco Advisors (Apr. 25, 2022) ("Segal Marco Comment Letter"); Comment Letter of the Illinois State Treasurer (May 12, 2022) ("IST Comment Letter"); AFL-CIO Comment Letter; Comment Letter of Morningstar, Inc. (Apr. 25, 2022) ("Morningstar Comment Letter"); Comment Letter of CFA Institute (June 24, 2022) ("CFA Comment Letter II").

[209] *See, e.g.*, Comment Letter of Impact Capital Managers, Inc. (Apr. 25, 2022) ("ICM Comment Letter"); MFA Comment Letter I; Comment Letter of Americans for Tax Reform (Apr. 23, 2022) ("ATR Comment Letter").

sufficient because investors can already negotiate for the types of reporting that would meet their needs.[210]

Although the required fee and expense disclosure in the quarterly statement will impose some additional costs, it is essential that investors receive this information in a timely, detailed, and consistent manner. Private funds are often more expensive than other asset classes because the scope and magnitude of fees and expenses paid directly and indirectly by private fund investors can be extensive and complex. Although the types of fees and expenses charged to private funds can vary across the industry, investors typically compensate the adviser for managing the affairs of a private fund, often in the form of management fees[211] and performance-based compensation.[212] A fund's portfolio investments also may pay fees to the adviser or its related persons.[213] The quarterly statement will help ensure disclosure of these fees and expenses, and the corresponding dollar amounts, to current investors on a consistent and regular basis, which will allow investors to understand and assess the cost of their private fund investments.

We disagree with the suggestion from some commenters that current fee and expense disclosure practices are sufficient. We understand that some fund investors have struggled to

---

210 *See* ICM Comment Letter; AIMA/ACC Comment Letter; Dechert Comment Letter; AIC Comment Letter I.

211 Certain private fund advisers utilize a pass-through expense model where the private fund pays for most, if not all, expenses, including the adviser's expenses, but the adviser does not charge a management fee. *See infra* section II.E.1. for a discussion of such pass-through expense models.

212 Investors typically enter into agreements under which the private fund pays such compensation directly to the adviser or its affiliates. Investors generally bear such compensation indirectly through their investment in the private fund; however, certain agreements may require investors to pay the adviser or its affiliates directly.

213 *See* Proposing Release, *supra* footnote 3, at 24-26 (describing the types of fees and expenses private fund investors typically pay or otherwise bear, including portfolio-investment level compensation paid to the adviser or its affiliates).

obtain complete and usable expense information, including when institutionally required to do so, for example, by the laws applicable to State and municipal plan investors.[214] Many investors also generally lack transparency regarding the total cost of fees and expenses.[215] For instance, even though investors can indirectly end up bearing the costs associated with a portfolio investment paying fees to the adviser or its related persons, some advisers may not disclose the magnitude or scope of these fees to investors. Opaque reporting practices make it difficult for investors to measure and evaluate performance accurately, to assess whether an adviser's total fees are justified, and to make better informed investment decisions.[216] Moreover, opaque reporting practices may prevent private fund investors from assessing whether the types and amount of fees and expenses borne by the private fund comply with the fund's governing agreements or whether disclosures regarding fund fees and expenses accurately describe the adviser's practices or instead may be misleading. The Commission has brought enforcement actions related to the disclosure, misallocation and mischarging of fees and expenses by private fund advisers. For example, we have alleged in settled enforcement actions that advisers have

---

214 *See, e.g.*, LACERA Comment Letter.

215 *See* Hedge Fund Transparency: Cutting Through the Black Box, The Hedge Fund Journal, James R. Hedges IV (Oct. 2006), *available at* https://thehedgefundjournal2006).com/hedge-fund-transparency/ (stating that "the biggest challenges facing today's hedge fund industry may well be the issues of transparency and disclosure"); Fees & Expenses, Private Funds CFO (Nov. 2020)), at 12, *available at* https://www.troutman.com/images/content/2/6/269858/PFCFO-FeesExpenses-Nov20-Final.pdf (noting that it is becoming increasingly complicated for investors to determine what the management fee covers versus what is a partnership expense and stating that the "formulas for management fees are complex and unique to different investors."); *see also, e.g.*, ILPA Comment Letter I; For the Long Term Comment Letter; NCPERS Comment Letter; Comment Letter of Americans for Financial Reform Education Fund (Apr. 25, 2022) ("AFREF Comment Letter I").

216 *See, e.g.*, Letter from State Treasurers and Comptrollers to Mary Jo White, U.S. Securities and Exchange Commission (July 21, 2015), *available at* http://comptroller.nyc.gov/wp-content/uploads/documents/SEC_SignOnPDF.pdf; *see also* Letter from Americans for Financial Reform Education Fund to Chairman Gary Gensler, U.S. Securities and Exchange Commission (July 6, 2021), *available at* https://ourfinancialsecurity.org/wp-content/uploads/2021/07/Letter-to-SEC-re_-Private-Equity-7.6.21.pdf.

received undisclosed fees,[217] received inadequately disclosed compensation from fund portfolio investments,[218] misallocated expenses away from the adviser to private fund clients,[219] mischarged a performance fee to a private fund client contrary to investor disclosures,[220] failed to offset certain fees or other amounts against management fees as set forth in fund documents,[221] and directly or indirectly misallocated fees and expenses among private fund and other clients.[222] Commission staff has observed similarly problematic practices in its examinations of private fund advisers.[223] For example, Commission staff has observed advisers that charge private funds for expenses not permitted under the fund documents.[224] Commission staff has also observed advisers allocating expenses, such as broken-deal, due diligence, and consultant expenses, among private fund clients, other clients advised by an adviser or its related persons, and their own accounts in a manner that was inconsistent with disclosures to investors.[225] Investors are less able to monitor effectively whether such fee and expense misallocations are occurring and to

---

217 *See, e.g.*, *In the Matter of Blackstone*, *supra* footnote 26.

218 *See, e.g.*, *In the Matter of Monomoy Capital Management, L.P.*, Investment Advisers Act Release No. 5485 (Apr. 22, 2020) (settled action).

219 *See, e.g.*, *In the Matter of Cherokee Investment Partners, LLC and Cherokee Advisers, LLC*, *supra* footnote 26; *In the Matter of Yucaipa Master Manager, LLC*, Investment Advisers Act Release No. 5074 (Dec. 13, 2018) (settled action).

220 *See, e.g.*, *In the Matter of Finser International Corporation, et al.*, Investment Advisers Act Release No. 5593 (Sept. 24, 2020) (settled action).

221 *See, e.g.*, *In the Matter of Corinthian Capital Group, LLC, et al.*, Investment Advisers Act Release No. 5229 (May 6, 2019) (settled action).

222 *See, e.g.*, *In the Matter of Lincolnshire*, *supra* footnote 26 (alleging that an investment adviser that misallocated expenses between its private funds' portfolio companies and violated its fiduciary duty to the private funds); *In the Matter of Rialto Capital Management, LLC*, Investment Advisers Release No. 5558 (Aug. 7, 2020) (settled action); *In the Matter of Energy Capital Partners*, *supra* footnote 30.

223 *See* EXAMS Private Funds Risk Alert 2020, *supra* footnote 188.

224 *See id.*

225 *See id.*

respond effectively to this information without sufficiently timely, regular, and detailed fee and expense information.

Some commenters suggested requiring an expense ratio to help provide context as to the relative magnitude of a fund's expenses.[226] Although expense ratios may be helpful in certain circumstances in providing a top-line cost figure, they may be less helpful in others. For instance, if an adviser is misallocating certain smaller expenses, an expense ratio may obscure this practice if overall changes to the top-line cost figure are not obvious. Additionally, expense ratios may fail to capture some of the nuances of private fund fee and expense structures, such as with respect to the current and future impact of offsets, rebates and waivers, and investors might not otherwise receive sufficient disclosure on such fee and expense structures. The focus of this disclosure requirement is to require a private fund adviser to provide its private fund investors regularly and in a timely manner with at least a baseline level of consistent and detailed fee and expense information, so that private fund investors are generally better able to assess and monitor effectively the costs of investing in private funds managed by the adviser.[227] If investors receive this information reliably, they will be better able to calculate their own applicable expense ratios.

Furthermore, as stated above, advisers under the rule will remain able to provide, and investors are free to request and negotiate for, disclosure of expense ratios, as well as other

---

226 *See* MFA Comment Letter I; NCREIF Comment Letter.

227 Although certain kinds of expense ratios are required in the registered funds context, we understand that fees and expenses are more likely to vary over time in the private fund space. For example, a private equity fund may incur a disproportionate amount of expenses early in its life when it is making the majority of its investments and incur fewer expenses during the middle part of its life when it is focused on holding these investments. The use of an expense ratio in these periods may overstate or understate, respectively, the expense burdens over the life of the fund.

information, to supplement the standardized baseline level (*i.e.*, the mandatory floor) of fund fee and expense disclosure required in the quarterly statements, provided that such additional information complies with the other requirements of the final rule, the marketing rule,[228] and other disclosure requirements, each to the extent applicable.

a) Private Fund-Level Disclosure

The quarterly statement rule will require private fund advisers to disclose the following information to investors in a table format:

(1) A detailed accounting of all compensation, fees, and other amounts allocated or paid to the adviser or any of its related persons by the private fund ("adviser compensation") during the reporting period;

(2) A detailed accounting of all fees and expenses allocated to or paid by the private fund during the reporting period other than those listed in paragraph (1) above ("fund expenses"); and

(3) The amount of any offsets or rebates carried forward during the reporting period to subsequent quarterly periods to reduce future payments or allocations to the adviser or its related persons.[229]

The table is designed to provide investors with comprehensive fund fee and expense disclosure for the prior quarterly period (or, in the case of a newly formed private fund's initial quarterly statement, its first two full fiscal quarters of operating results).[230] We discuss each of these elements in turn below.

---

228 *See supra* footnote 201.

229 Final rule 211(h)(1)-2(b).

230 *See* final rule 211(h)(1)-1 (defining "reporting period" as the private fund's fiscal quarter covered by the quarterly statement or, for the initial quarterly statement of a newly formed private fund, the period covering the private fund's first two full fiscal quarters of operating results). To the extent a newly formed private fund begins generating operating results on a day other than the first day of a fiscal quarter (*e.g.*,

Adviser Compensation. Substantially as proposed, the rule will require the fund table to show a detailed accounting of all adviser compensation during the reporting period, with separate line items for each category of allocation or payment reflecting the total dollar amount, as proposed.[231] The rule is designed to capture all forms and amounts of compensation, fees, and other amounts allocated or paid to the investment adviser or any of its related persons by the fund, including, but not limited to, management, advisory, sub-advisory, or similar fees or payments, and performance-based compensation, without permitting the exclusion of *de minimis* expenses, the general grouping of smaller expenses into broad categories, or the labeling of expenses as miscellaneous.

Many commenters generally supported the requirement to report adviser compensation on the quarterly statements.[232] Some commenters suggested that this requirement would be overly burdensome, in particular due to the breadth of certain aspects of the requirement (as discussed below), or that current market practices are sufficient.[233]

Many private funds compensate advisers with a "2 and 20" or similar arrangement, consisting of a 2% management fee and a 20% share of any profits generated by the fund. Certain advisers, however, receive other forms or amounts of compensation from private funds in addition to, or in lieu of, such arrangements.[234] Requiring advisers to disclose all forms of

---

Jan. 1), the adviser should include such partial quarter and the immediately succeeding fiscal quarters in the newly formed private fund's initial quarterly statement. For example, if a fund begins generating operating results on Feb. 1, the reporting period for the initial quarterly statement would cover the period beginning on Feb. 1 and ending on Sept. 30.

231 Final rule 211(h)(1)-2(b)(1).

232 *See, e.g.*, CII Comment Letter; Seattle Retirement System Comment Letter; IST Comment Letter.

233 *See, e.g.*, ICM Comment Letter; Comment Letter of Alumni Ventures (Apr. 25, 2022) ("Alumni Ventures Comment Letter"); MFA Comment Letter I.

234 *See* Proposing Release, *supra* footnote 3, at 28-29 (describing the types of adviser compensation private fund investors typically pay or otherwise bear).